2.4 Difference between Institutional & Retail Investors

Those who work for larger Companies/ Institutions and take investment decisions on behalf of the Institution.

Institutional Analyst

(Full time job in the field of equity research)

Those who take investment decisions on their own money and do not professionally work in money management industry.

Retail Investor

(Full time job in a field other than equity research)

Institutional Investor

An institutional investor is a person who conducts detailed research, reads annual reports of companies and analyzes the company and the industry as a professional. We can say that these people are working in Mutual Funds or Portfolio management companies as professionals to analyze companies and find good investment opportunities. Since they work along with companies and take investment decisions on behalf of large institutions, a substantial amount of money is involved.

Retail Investor

A Retail Investor, also known as an individual investor, is a non-professional investor who merely spends 3 to 4 hours per week analyzing a company and its industry. It includes anyone, from a lawyer, doctor, teacher, to your family who is ambitious and eager to invest. Since investment decisions are taken with their own money, or on behalf of friends and family, a small amount of money is involved.